General Mills Inc. (NYSE: GIS US)

Institutional Equity Research Report

RECOMMENDATION	**BUY**
CURRENT MARKET PRICE	**$ 38.53**
TARGET PRICE	**$ 49.20**
IMPLIED UPSIDE	**+28%**

Investment Highlights

✓ Defensive consumer staples business ✓ Strong portfolio of leading global brands

✓ Stable cash flows supporting dividend growth ✓ Consistent profitability across economic cycles

✓ Attractive value opportunity in a resilient sector

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EXECUTIVE SUMMARY

A. Investment Case

General Mills is a leading global consumer staples company with a diversified portfolio of established food and pet food brands that generate resilient earnings and recurring cash flows. Its strong brand equity, pricing power and disciplined capital allocation enable the company to deliver stable shareholder returns across economic cycles, making it a suitable defensive holding within the Value Stock Portfolio.

B. Key Catalysts

The investment thesis is supported by continued product innovation, growth in higher-margin categories such as pet food and snacks, and disciplined cost management. Revenue is forecast to increase to approximately **USD 20.1 billion by FY2027**, while stable operating margins and recurring Free Cash Flow generation are expected to continue supporting dividends and long-term shareholder returns.

C. Financial Highlights

General Mills has demonstrated resilient financial performance despite a challenging operating environment. Revenue increased from **USD 17.6 billion in FY2020** to **USD 19.5 billion in FY2025**, while operating income remained strong at approximately **USD 3.0 billion**. The company also generated **USD 2.9 billion** in operating cash flow during FY2025 and maintained attractive capital efficiency, with **Return on Capital (ROC) of 15.4%** and **Return on Equity (ROE) of 24.7%**, highlighting the strength of its business model.

D. Valuation

The valuation analysis indicates that General Mills is trading below its intrinsic value. The Discounted Cash Flow model estimates a fair value of **USD 49.20 per share**, representing an implied upside of approximately **28%** relative to the current market price of **USD 38.53**. The EV/EBITDA valuation estimates a fair value of **USD 45.68 per share**, implying an upside of **19.0%**. The consistency across both valuation methodologies supports the company's long-term investment case.

E. Recommendation Summary

General Mills combines resilient cash flow generation, stable profitability and disciplined capital allocation with an attractive valuation. While input cost inflation, changing consumer preferences and competitive pressures remain key risks, the company's defensive business model and consistent financial performance continue to support the investment thesis. Given the upside indicated by both the DCF and EV/EBITDA valuations, we recommend **BUY**, as General Mills remains well positioned to deliver sustainable long-term shareholder value.

BUSINESS ANALYSIS

A. Business Overview

General Mills is one of the world's leading branded consumer food companies, with a diversified portfolio spanning cereals, snacks, yogurt, baking products, pet food and convenient meals. Its portfolio of established brands, broad geographic presence and recurring consumer demand generate stable revenues and cash flows across economic cycles. These characteristics make General Mills a defensive business that aligns well with the objectives of the Value Stock Portfolio.

B. Strategy & Key Value Drivers

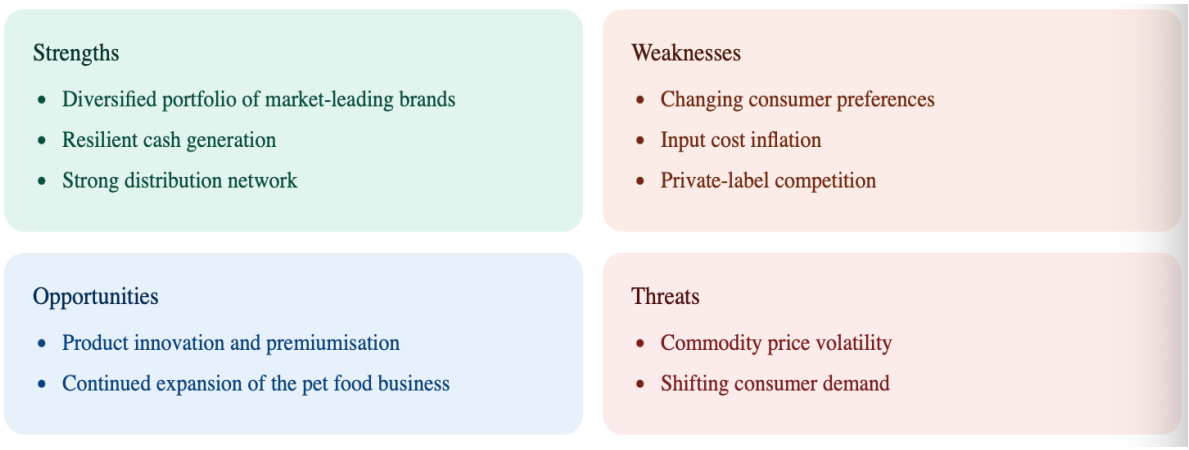
General Mills' strategy focuses on strengthening its portfolio of leading brands through product innovation, premiumisation and targeted acquisitions while improving operating efficiency. Continued investment in high-growth categories such as pet food and snacks, combined with disciplined cost management and capital allocation, supports sustainable earnings growth and consistent Free Cash Flow generation for shareholders.

C. Business Moat

General Mills benefits from a strong competitive moat built on globally recognised brands, extensive distribution networks and long-standing relationships with retailers. Its scale provides purchasing power, manufacturing efficiencies and marketing advantages that create barriers to entry and support pricing power. These strengths enable the company to maintain resilient profitability and generate consistent cash flows despite changing consumer preferences and inflationary pressures.

D. SWOT Analysis

General Mills' key strengths include its diversified portfolio of market-leading brands, resilient cash generation and strong distribution network. However, the company faces challenges from changing consumer preferences, input cost inflation and private-label competition. Growth opportunities are supported by innovation, premium product offerings and continued expansion of the pet food business, while commodity price volatility and shifting consumer demand remain the primary long-term risks. Overall, the company's stable earnings profile and disciplined capital allocation reinforce its suitability for inclusion within the Value Stock Portfolio.



INDUSTRY ANALYSIS

A. Sector Outlook

The global packaged food industry benefits from stable consumer demand driven by essential food consumption, established household brands and recurring purchasing behaviour. While short-term growth is influenced by inflation and changing consumer preferences, companies with diversified product portfolios, strong brands and pricing power are well positioned to generate resilient earnings and cash flows. General Mills' portfolio of leading brands across multiple food categories supports its long-term competitive position within this defensive sector.

B. Business Cycle

The packaged food industry is relatively defensive, with demand remaining resilient throughout economic cycles as food products represent essential consumer spending. Although inflation and input cost pressures can affect margins, companies with strong brand recognition and pricing power are generally able to preserve profitability. General Mills' diversified product portfolio provides greater earnings stability than more discretionary consumer businesses.

C. Supply Chain

The packaged food value chain includes raw material sourcing, manufacturing, distribution and retail sales. General Mills operates an integrated supply chain supported by long-term supplier relationships, extensive manufacturing facilities and a broad global distribution network. Its scale improves procurement efficiency, enhances inventory management and strengthens relationships with major retailers, supporting consistent product availability and operational efficiency.

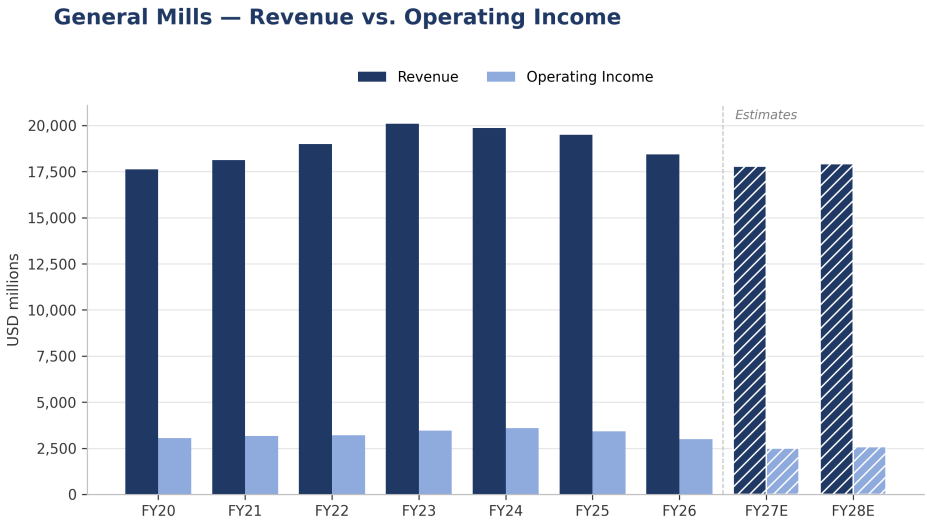
D. Peer Analysis

Ticker	Name	Mkt Cap (USD)	EV	EV/EBITDA	P/E	P/FCF	Dividend Yield
GIS US Equity	GENERAL MILLS INC	19080.07516	32578.87516	8.820705865	10.08428488	11.81788707	6.82135884
CPB US Equity	THE CAMPBELL'S COMPANY	6554.573221	13480.57322	7.507844963	9.269685237	9.761609335	7.097360977
UTZ US Equity	UTZ BRANDS INC	2031.671181	2819.471181	12.96576846	12.01014218	28.96203249	1.770538244
JBSS US Equity	JOHN B. SANFILIPPO & SON INC	967.429227	1069.637227	7.889692913	14.68082374	19.75289668	4.833252779
JJSF US Equity	J & J SNACK FOODS CORP	1434.636324	1567.423324	7.140100053	17.02063279	16.55998707	4.183006598
HSY US Equity	HERSHEY CO/THE	35172.03626	40304.13526	14.41564859	24.12805485	15.9298091	3.224221681

FUNDAMENTAL ANALYSIS

A. Revenue and Earnings Stability

General Mills' investment thesis is supported by the resilience of its branded consumer products portfolio, which continues to generate stable earnings despite a challenging consumer environment. Revenue increased from **USD 17.6 billion in FY2020** to **USD 19.5 billion in FY2025**, while operating income remained resilient at **USD 3.0 billion in FY2025**. Revenue is projected to recover to approximately **USD 20.1 billion by FY2027**, reflecting the company's ability to sustain profitability through pricing discipline, product innovation and portfolio optimisation.



In Millions of USD except Per Share 12 Months Ending	FY 2020 05/31/2020	FY 2021 05/30/2021	FY 2022 05/29/2022	FY 2023 05/28/2023	FY 2024 05/26/2024	FY 2025 05/25/2025	FY 2026 05/31/2026	Last 12M 05/31/2026	FY 2027 Est 05/31/2027	FY 2028 Est 05/31/2028
Revenue	**17,626.6**	**18,127.0**	**18,992.8**	**20,094.2**	**19,857.2**	**19,486.6**	**18,424.6**	**18,424.6**	**17,804.1**	**17,929.4**
+ Sales & Services Revenue	17,626.6	18,127.0	18,992.8	20,094.2	19,857.2	19,486.6	18,424.6	18,424.6		
- Cost of Revenue	11,425.4	11,817.7	12,719.4	13,223.9	12,944.4	12,759.6	12,257.5	12,257.5		
+ Cost of Goods & Services	11,425.4	11,817.7	12,719.4	13,223.9	12,944.4	12,759.6	12,257.5	12,257.5		
Gross Profit	**6,201.2**	**6,309.3**	**6,273.4**	**6,870.3**	**6,912.8**	**6,727.0**	**6,167.1**	**6,167.1**	**5,879.6**	**5,963.7**
+ Other Operating Income	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
- Operating Expenses	3,143.2	3,147.5	3,060.1	3,413.0	3,310.0	3,313.6	3,167.3	3,169.8		
+ Selling, General & Admin	3,151.6	3,079.6	3,147.0	3,500.4	3,259.0	3,445.8	3,388.5	3,388.5		
+ Research & Development	0.0	0.0	—	0.0	0.0	0.0	0.0			
+ Other Operating Expense	-8.4	67.9	-86.9	-87.4	51.0	-132.2	-221.2	-218.7		
Operating Income (Loss)	**3,058.0**	**3,161.8**	**3,213.3**	**3,457.3**	**3,602.8**	**3,413.4**	**2,999.8**	**2,997.3**	**2,520.8**	**2,588.5**
- Non-Operating (Income) Loss	353.7	287.4	266.2	293.3	403.4	469.8	480.3	480.3		
+ Interest Expense, Net	466.5	420.3	379.6	382.1	479.2	524.2	538.6	538.6		
+ Interest Expense	*472.5*	*427.7*	*383.4*	*396.1*	*498.0*	*548.8*	*569.6*	*538.6*		
- Interest Income	*6.0*	*7.4*	*3.8*	*14.0*	*18.8*	*24.6*	*31.0*	*0.0*		
+ Foreign Exch (Gain) Loss	0.0	0.0	0.0	0.0	0.0	0.0	0.0			
+ (Income) Loss from Affiliates	—	—	—	—	—	—	—			
+ Other Non-Op (Income) Loss	-112.8	-132.9	-113.4	-88.8	-75.8	-54.4	-58.3	-58.3		
Pretax Income (Loss), Adjusted	**2,704.3**	**2,874.4**	**2,947.1**	**3,164.0**	**3,199.4**	**2,943.6**	**2,519.5**	**2,517.0**	**2,001.2**	**2,090.2**

B. Balance Sheet Strength

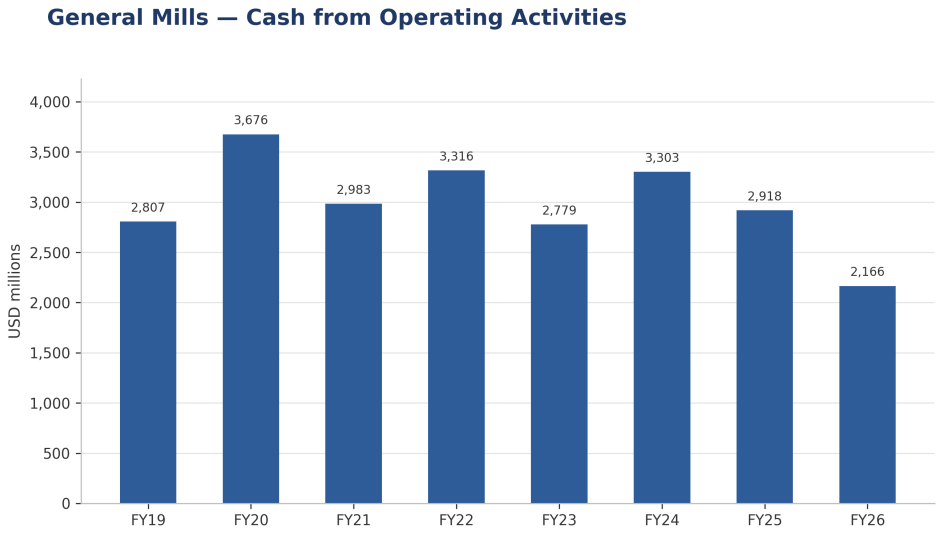
General Mills maintains a conservative financial position supported by disciplined capital allocation and consistent cash generation. Cash, cash equivalents and short-term investments increased from **USD 450 million in FY2019** to **USD 364 million in FY2025**, after peaking at **USD 1.68 billion in FY2020**

as the company strengthened liquidity during the pandemic. Although cash balances have normalised, the company continues to maintain adequate financial flexibility to support dividends, acquisitions and ongoing investment.

In Millions of USD except Per Share 12 Months Ending	FY 2017 05/28/2017	FY 2018 05/27/2018	FY 2019 05/26/2019	FY 2020 05/31/2020	FY 2021 05/30/2021	FY 2022 05/29/2022	FY 2023 05/28/2023	FY 2024 05/26/2024	FY 2025 05/25/2025	FY 2026 05/31/2026
Total Assets										
+ Cash, Cash Equivalents & STI	766.1	399.0	450.0	1,677.8	1,505.2	569.4	585.5	418.0	363.9	453.8
+ Cash & Cash Equivalents	766.1	399.0	450.0	1,677.8	1,505.2	569.4	585.5	418.0	363.9	453.8
+ ST Investments	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Accounts & Notes Receiv	1,430.1	1,684.2	1,679.7	1,615.1	1,638.5	1,692.1	1,683.2	1,696.2	1,795.9	1,646.8
+ Accounts Receivable, Net	1,430.1	1,684.2	1,679.7	1,615.1	1,638.5	1,692.1	1,683.2	1,696.2	1,795.9	1,646.8
+ Notes Receivable, Net	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Unbilled Revenues	—	—	—	5.0	12.0	28.7	2.3	7.9	—	—
+ Inventories	1,483.6	1,642.2	1,559.3	1,426.3	1,820.5	1,867.3	2,172.0	1,898.2	1,910.8	1,917.9
+ Raw Materials	395.4	400.0	434.9	392.2	411.9	532.0	572.2	500.5	460.0	488.2
+ Work In Process	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Finished Goods	1,224.3	1,364.2	1,245.9	1,142.6	1,506.9	1,634.7	2,066.9	1,827.7	1,883.9	1,914.1
+ Other Inventory	-136.1	-122.0	-121.5	-108.5	-98.3	-299.4	-467.1	-430.0	-433.1	-484.4
+ Other ST Assets	381.6	398.3	497.5	397.1	778.3	932.3	733.4	560.6	1,205.1	599.8
+ Prepaid Expenses	—	—	—	194.5	221.7	213.5	244.4	266.1	269.0	284.9
+ Derivative & Hedging Assets	0.0	0.0	0.0	70.6	37.5	86.1	45.1	20.8	11.6	53.4
+ Assets Held-for-Sale	—	—	—	—	—	158.9	0.0	0.0	740.4	0.0
+ Misc ST Assets	381.6	398.3	497.5	132.0	519.1	473.8	443.9	273.7	184.1	261.5
Total Current Assets	**4,061.4**	**4,123.7**	**4,186.5**	**5,121.3**	**5,754.5**	**5,089.8**	**5,176.4**	**4,580.9**	**5,275.7**	**4,618.3**

C. Cash Flow Generation

A key strength of General Mills is its ability to consistently generate operating cash flow from recurring consumer demand. Cash from operating activities increased from **USD 2.8 billion in FY2019** to **USD 2.9 billion in FY2025**, having reached **USD 3.3 billion in FY2024**. This resilient cash generation supports continued shareholder distributions, capital investment and debt management while reinforcing the company's defensive business model.



In Millions of USD except Per Share 12 Months Ending	FY 2018 05/27/2018	FY 2019 05/26/2019	FY 2020 05/31/2020	FY 2021 05/30/2021	FY 2022 05/29/2022	FY 2023 05/28/2023	FY 2024 05/26/2024	FY 2025 05/25/2025	FY 2026 05/31/2026	Last 12M 05/31/2026
Cash from Operating Activities										
+ Net Income	2,131.0	1,752.7	2,181.2	2,339.8	2,707.3	2,593.9	2,496.6	2,295.2	-87.6	-87.6
+ Depreciation & Amortization	618.8	620.1	594.7	601.3	570.3	546.6	552.7	539.0	555.2	555.2
+ Non-Cash Items	-450.9	441.7	106.4	198.0	-238.9	-313.0	242.7	-108.4	2,176.9	2,176.9
+ Stock-Based Compensation	77.0	84.9	94.9	89.9	98.7	111.7	95.3	91.7	79.4	79.4
+ Deferred Income Taxes	-504.3	93.5	-29.6	118.8	62.2	-22.2	-48.5	-120.9	203.2	203.2
+ Other Non-Cash Adj	-23.6	263.3	41.1	-10.7	-399.8	-402.5	195.9	-79.2	1,894.3	1,894.3
+ Chg in Non-Cash Work Cap	542.1	-7.5	793.9	-155.9	277.4	-48.9	10.6	192.4	-478.3	-478.3
+ (Inc) Dec in Accts Receiv	-122.7	0.0	37.9	27.9	-166.3	-41.2	-1.8	-79.0	12.9	12.9
+ (Inc) Dec in Inventories	15.6	0.0	103.1	-354.7	-85.8	-319.0	287.6	-18.5	-82.2	-82.2
+ Inc (Dec) in Accts Payable	575.3	0.0	392.5	343.1	456.7	199.8	-251.2	86.7	-186.2	-186.2
+ Inc (Dec) in Other	73.9	-7.5	260.4	-172.2	72.8	111.5	-24.0	203.2	-222.8	-222.8
+ Net Cash From Disc Ops	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Cash from Operating Activities	**2,841.0**	**2,807.0**	**3,676.2**	**2,983.2**	**3,316.1**	**2,778.6**	**3,302.6**	**2,918.2**	**2,166.2**	**2,166.2**

D. Return on Capital

General Mills continues to deliver strong capital efficiency despite moderating industry growth. **Return on Common Equity (ROE)** remained robust at **24.7% in FY2025**, while **Return on Capital (ROC)** improved from **9.8% in FY2019** to **15.4% in FY2025**, demonstrating the company's ability to efficiently deploy capital and generate attractive shareholder returns. These consistently high returns reinforce the quality of General Mills' operating model and its suitability for long-term value investing.

General Mills Inc (GIS US) - Profitability

In Millions of USD except Per Share 12 Months Ending	FY 2017 05/28/2017	FY 2018 05/27/2018	FY 2019 05/26/2019	FY 2020 05/31/2020	FY 2021 05/30/2021	FY 2022 05/29/2022	FY 2023 05/28/2023	FY 2024 05/26/2024	FY 2025 05/25/2025	FY 2026 05/31/2026
Returns										
Return on Common Equity	35.81	40.71	26.56	28.87	26.70	27.06	24.71	25.16	24.69	-1.06
Return on Assets	7.62	8.13	5.77	7.16	7.47	8.60	8.29	7.94	7.11	-0.28
Return on Capital	12.92	13.30	9.76	11.48	11.60	13.21	12.86	12.77	11.61	-0.43
Return on Invested Capital	11.21	11.24	8.30	9.69	9.80	11.27	11.21	11.24	10.42	-0.37

DISCOUNTED CASH FLOW (DCF) VALUATION

A. Free Cash Flow Projection

General Mills' valuation is supported by its ability to generate stable and recurring Free Cash Flow from its portfolio of leading consumer brands. Free Cash Flow is projected to remain resilient throughout the forecast period, reaching approximately **USD 2.9 billion by FY2029**, reflecting stable consumer demand, disciplined capital expenditure and continued operating efficiency.

In Millions of USD		May 21 A	May 22 A	May 23 A	May 24 A	May 25 A	May 26 A	May 27 A	May 28 A	May 29 A	May 30 A	May 31 A	May 32 A	Year 5
Revenue (Estimate Comparable)		**18,127**	**18,993**	**20,094**	**19,857**	**19,487**	**18,425**	**17,803**	**17,913**	**18,151**	**18,231**	**18,492**	**18,723**	
Revenue (Adjusted)		**18,127**	**18,993**	**20,094**	**19,857**	**19,487**	**18,425**							
% YoY Growth	Edit Row			6%	-1%	-2%	-5%	-3%	1%	1%	0%	1%	1%	
(-) Cost of Revenue		11,818	12,719	13,224	12,944	12,760	12,258	11,920	11,950	12,066	12,107	12,263	12,422	
(-) Cost of Revenue (GAAP)		11,679	12,591	13,548	12,925	12,754	12,229							
% of Revenue		65%	67%	66%	65%	65%	67%	67%	67%	66%	66%	66%	66%	
(=) Gross Profit		**6,309**	**6,273**	**6,870**	**6,913**	**6,727**	**6,167**	**5,883**	**5,963**	**6,084**	**6,124**	**6,229**	**6,301**	
% Margin	Edit Row	35%	33%	34%	35%	35%	33%	33%	33%	34%	34%	34%	34%	
(-) Operating Expenses/Income		3,148	3,060	3,413	3,310	3,314	3,167	3,359	3,370	3,409	3,398	3,490	3,541	
% of Revenue	Edit Row	17%	16%	17%	17%	17%	17%	19%	19%	19%	19%	19%	19%	
% YoY Growth			-3%	12%	-3%	0%	-4%	6%	0%	1%	0%	3%	1%	
(=) Operating Income		**3,162**	**3,213**	**3,457**	**3,603**	**3,413**	**3,000**	**2,524**	**2,592**	**2,675**	**2,726**	**2,739**	**2,760**	
% Margin		17%	17%	17%	18%	18%	16%	14%	14%	15%	15%	15%	15%	
(-) Tax on Operating Income		**498**	**619**	**643**	**641**	**632**	**531**	**525**	**538**	**557**	**572**	**572**	**575**	
% Tax Rate	Edit Row	17%	21%	20%	20%	21%	21%	21%	21%	21%	21%	21%	21%	
(=) NOPAT		**2,664**	**2,594**	**2,814**	**2,962**	**2,781**	**2,469**	**1,999**	**2,055**	**2,118**	**2,154**	**2,167**	**2,184**	
% Margin		15%	14%	14%	15%	14%	13%	11%	11%	12%	12%	12%	12%	
(+) Depreciation & Amortization		601	570	547	553	539	555	557	600	600	600	600	600	
% of Revenue	Edit Row	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	2%	2%	
% YoY Growth			-5%	-4%	1%	-2%	3%	0%	8%	0%	0%	0%	0%	
(-) Capital Expenditure		531	569	690	774	625	540	600	613	618	626	666	637	
% of Revenue	Edit Row	3%	3%	3%	4%	3%	3%	3%	3%	3%	3%	4%	3%	
% YoY Growth			7%	21%	12%	-19%	-14%	11%	2%	1%	1%	6%	-4%	
(-) Changes in Net Working Capital		255	173	(195)	(40)	517	(761)	(62)	(107)	(95)	(107)	(229)	(123)	
% of Revenue	Edit Row	1%	1%	-1%	0%	3%	-4%	0%	-1%	-1%	-1%	-1%	-1%	
(+) Changes in Net Long Term Deferred Tax Liabilities		171	100	(107)	90	(100)	165	29	17	40	31	57	36	
% of Revenue	Edit Row	1%	1%	-1%	0%	-1%	1%	0%	0%	0%	0%	0%	0%	
(+) Other User Estimated Non-Cash Adjustments								-	-	-	-	-	-	
% of Revenue	Edit Row							0%	0%	0%	0%	0%	0%	
(=) Free Cash Flow		**2,651**	**2,523**	**2,759**	**2,870**	**2,078**	**3,410**	**2,047**	**2,166**	**2,235**	**2,267**	**2,387**	**2,307**	**2,377**

B. Estimation of WACC

Particulars	Weight	Cost	Wtd Avg
Equity	56.40%	7.50%	7.80%
Debt	43.60%	2.30%	5.20%
Preferred Equity	0.00%	0.00%	0.00%
WACC			**7.00%**

C. Terminal Cash Flow

A **terminal growth rate of 2.0%** has been applied, reflecting the mature nature of the packaged food industry while recognising General Mills' ability to sustain long-term cash flow growth through product innovation, pricing power and portfolio expansion.

D. Enterprise Value

The enterprise value is derived from the present value of forecast Free Cash Flows together with the terminal value, reflecting General Mills' resilient earnings profile and consistent long-term cash generation. The valuation highlights the stability of the company's operating model and its ability to generate shareholder value through varying economic conditions.

Perpetuity Growth Method - Value per Share	
Free Cash Flow at Year 5	2,377
WACC	7.0%
Perpetuity Growth Rate	1.5%
Perpetuity Value at End of Year 5	43,866
Present Value of Perpetuity (@ 5.3% WACC)	31,276
(+) Present Value of Free Cash Flows (@ 5.3% WACC)	9,776
(=) Current Enterprise Value	**41,052**
Short Term Debt	1,224
(+) Long Term Debt	12,716
(-) Cash and Marketable Securities	454
(-) Current Net Debt	13,487
(-) Current Preferred and Minority Interest	12
(=) Equity Value	27,553
Shares outstanding	560
Estimated Value per Share (USD)	**49.20**
Current Price (USD)	38.53
Estimated Upside	**28%**

E. Equity Value

The DCF model estimates an intrinsic value of **USD 49.20 per share**, compared with the current market price of **USD 38.53**, implying an upside of approximately **28%**. This valuation also exceeds the consensus target price of **USD 56.98**, indicating that the market does not fully reflect General Mills' resilient cash generation and long-term earnings potential. The implied margin of safety supports maintaining and selectively increasing the company's allocation within the Value Stock Portfolio.

MULTIPLE-BASED VALUATION

The EV/EBITDA valuation estimates a fair value of **USD 45.68 per share**, representing an implied upside of approximately **19.0%** relative to the current market price of **USD 38.53**. Although this valuation is more conservative than the **DCF fair value of USD 49.20**, both approaches indicate that General Mills is trading below its intrinsic value. The consistency across the two valuation methodologies reflects the company's stable earnings profile, resilient cash generation and defensive business model. Given the attractive valuation and predictable long-term cash flows, General Mills remains well positioned within the Value Stock Portfolio, supporting a recommendation to **maintain and selectively increase the existing portfolio position**.

EBITDA Multiple Method - Value per Share	
Terminal EBITDA at Year 5	3,342
WACC	7.0%
Exit Enterprise Value / EBITDA	12.3x
Terminal Value at End of Year 5	41,101
Present Value of Terminal Value (@ 5.3% WACC)	29,304
(+) Present Value of Free Cash Flows (@ 5.3% WACC)	9,776
(=) Current Enterprise Value	**39,080.6**
Short Term Debt	1,224
(+) Long Term Debt	12,716
(-) Cash and Marketable Securities	454
(-) Current Net Debt	13,487
(-) Current Preferred and Minority Interest	12
(=) Equity Value	25,582
Shares outstanding	560
Estimated Value per Share (USD)	**45.68**
Current Price (USD)	38.53
Estimated Upside	**19%**

(=) Free Cash Flow		**2,651**	**2,523**	**2,759**	**2,870**	**2,078**	**3,410**	**2,047**	**2,166**	**2,235**	**2,267**	**2,387**	**2,307**	**2,377**
% Margin	Edit Row	15%	13%	14%	14%	11%	19%	11%	12%	12%	12%	13%	12%	
% YoY Growth			-5%	9%	4%	-28%	64%	-40%	6%	3%	1%	5%	-3%	
% of the Free Cash Flow to be discounted								87%	100%	100%	100%	100%	13%	
Period for Discount Factor (Mid-Year Convention)								0.44	1.37	2.37	3.37	4.37	4.94	
Discount Factor @ 5.3% WACC								0.98	0.93	0.88	0.84	0.80	0.77	
Present Value of Free Cash Flow (5 Years)								**1,749**	**2,017**	**1,977**	**1,904**	**1,904**	**225**	
EBITDA		3,763	3,784	4,004	4,156	3,952	3,555	3,081	3,192	3,275	3,326	3,339	3,360	3,342

RISK ASSESSMENT

A. Input Cost Inflation Risk

General Mills is exposed to fluctuations in the prices of key agricultural commodities, packaging materials and transportation costs. Sustained cost inflation that cannot be fully offset through pricing actions could compress operating margins, reduce Free Cash Flow and lower the intrinsic value estimated by the DCF model.

B. Changing Consumer Preferences

Shifts towards healthier products, private-label alternatives and changing consumption habits could reduce demand across some of General Mills' core product categories. Slower sales growth would negatively affect forecast revenue, EBITDA and long-term Free Cash Flow generation, reducing the company's valuation.

C. Competitive and Pricing Risk

The packaged food industry remains highly competitive, with competition from both branded manufacturers and private-label retailers. Increased promotional activity or an inability to sustain pricing power could pressure profitability and weaken the company's ability to maintain its historically strong cash generation.

D. Valuation Risk

The DCF model estimates an intrinsic value of **USD 49.20 per share**, while the EV/EBITDA valuation estimates **USD 45.68 per share**, compared with the current market price of **USD 38.53**. Although both approaches indicate meaningful upside, the valuation remains sensitive to assumptions regarding revenue growth, operating margins, Free Cash Flow generation, terminal growth and the discount rate. Any deterioration in these assumptions would reduce the estimated intrinsic value and narrow the current margin of safety.

CONCLUSION

General Mills remains a high-quality consumer staples company supported by a diversified portfolio of leading brands, resilient consumer demand and consistent Free Cash Flow generation. Its defensive business model, pricing power and disciplined capital allocation continue to support stable earnings and long-term shareholder value creation.

The financial analysis demonstrates stable revenue growth, strong operating cash flow generation and attractive capital efficiency, reinforcing the company's investment quality. The DCF valuation estimates an intrinsic value of **USD 49.20 per share**, representing an implied upside of approximately **28%** over the current market price of **USD 38.53**, while the EV/EBITDA valuation estimates a fair value of **USD 45.68 per share**, implying an upside of **19.0%**.

Supported by predictable cash flows, resilient profitability and attractive valuations under both methodologies, General Mills continues to exhibit the characteristics sought within the Value Stock Portfolio. Accordingly, we recommend **BUY**, as the company remains well positioned to deliver sustainable long-term shareholder returns.